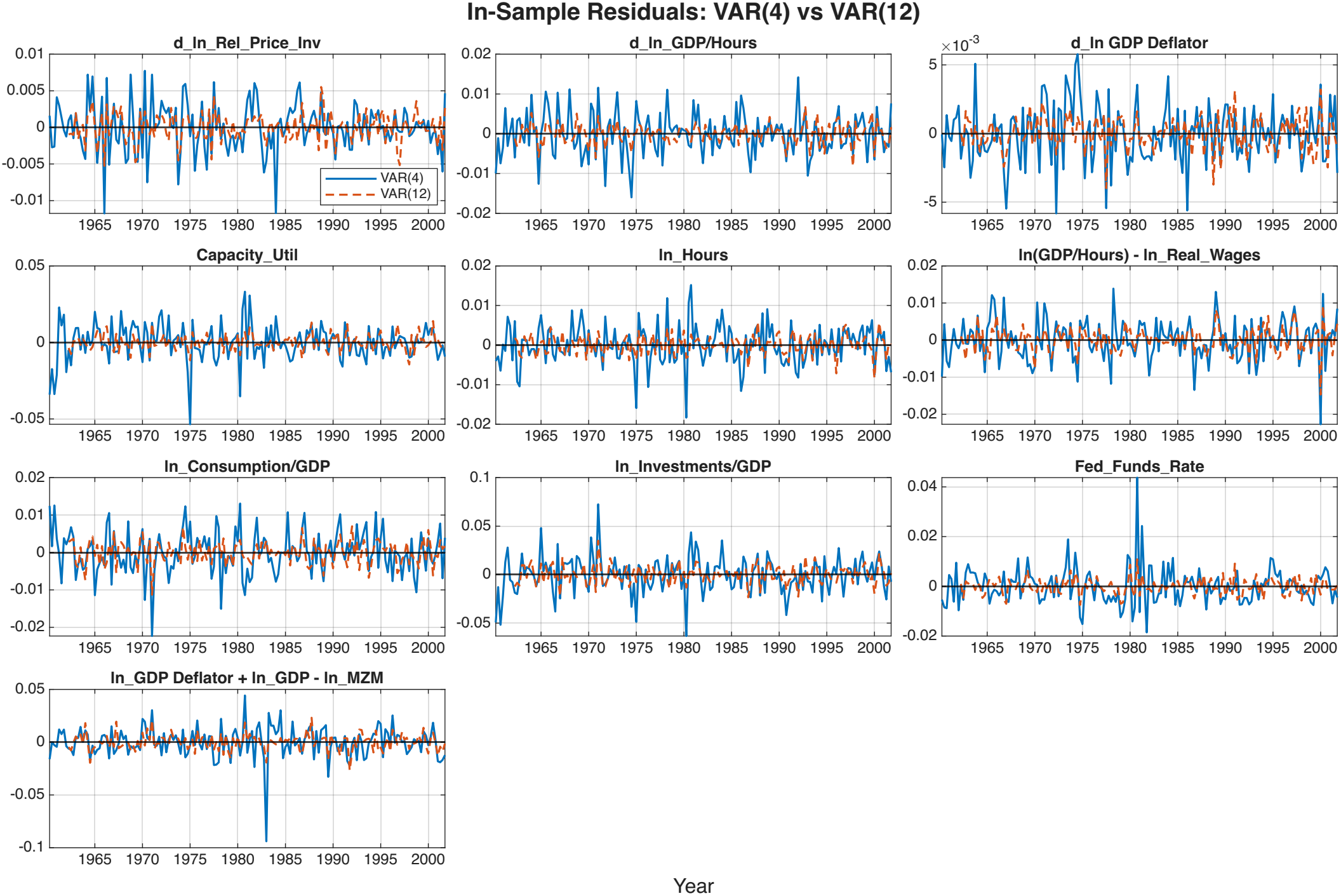
In-Sample Residuals: VAR(4) vs VAR(12)
d_ln_Rel_Price_Inv
d_ln_GDP/Hours
d_ln GDP Deflator
×10-3
Capacity_Util
ln_Hours
ln(GDP/Hours) - ln_Real_Wages
ln_Consumption/GDP
ln_Investments/GDP
Fed_Funds_Rate
ln_GDP Deflator + ln_GDP - ln_MZM
VAR(4)
VAR(12)
1965 1970 1975 1980 1985 1990 1995 2000
Year